

highest at the bottom, but then recedes as price rises to the start of the extension. G shows an example of rising volume.

Breakout, confirmation. To make things easy, I set the breakout to be a close above the high at the right side of the V, before the extension begins. You may wish to use a close above the high set in the extension.

The pattern confirms when price breaks out upward. A downward breakout invalidates the pattern. Downward breakouts are rare, happening 11% to 12% of the time when you use the breakout location as I just described.

Duration. I set a minimum duration of 3 weeks to make sure price dropped in a steep move down, but not accompanied by a large one-day price gap. I set a maximum of 3 months because I wanted the right side of the V to mirror the angle of the left side. These values are arbitrary.

Focus on Failures

As I mentioned, a downward breakout invalidates an extended V-bottom. A downward breakout happens when price drops far enough to close below the bottom of the V instead of first breaking out upward. A downward breakout would represent one type of extended V-bottom failure.

[Figure 70.3](#) shows a different kind of failure, a 5% failure. A 5% failure occurs when price does not rise far enough above the breakout price before turning down and closing below the bottom of the pattern or dropping more than 20%.

In this example, the extended V-bottom is the move from A to D. Price drops in a straight-line run from A to B. At B, the downtrend reverses and price climbs but only to C. After C, the extension forms and price travels sideways to D.

Because I set the breakout price when the stock *closes* above the high price at C, the breakout occurs at D, in the middle of the extension (in this example). Price meanders higher until reaching the ultimate high at E. Point E is less than 5% above the high at C. When price drops to F (bottom of the chart), the pattern's fate is sealed as a 5% failure.